

Venture Capital and Entrepreneurial Management MGMT 264

Organizational Issues

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Typical Start-Up Experience



The Formation of A Start-up

- Team

■ A Golden Rule

- ❑ The key is getting and working with the right partner or partners, and not assuming that your best friend or brother-in-law will do.

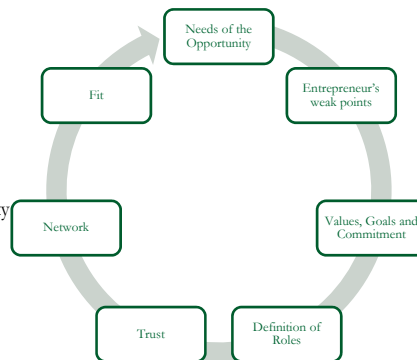
■ Composition and Size of the Founding Team

■ Common Trouble Spots

- ❑ Founders mistakes: "hiring people like me" has advantages and disadvantages.
- ❑ Role confusion: lack of role clarity; inability to adapt to changing roles as the venture scales.
- ❑ Founders do not communicate effectively, resulting in frustration and inefficiency.

■ "Co-Founder" or "Early Stage Employee"

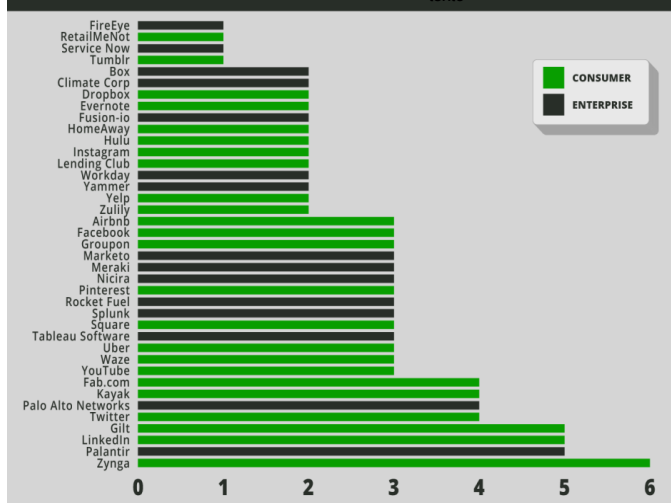
Key Points in Team Formation



Most startups fail because founders don't get along well

Team Formation

NUMBER OF FOUNDERS PER COMPANY



Source: "Welcome to the Unicorn Club," Aileen Lee (2013)

TERMINATION

Termination without cause
Termination for cause: If you steal money from the company
Disability

VCs have to be an accredited investor

LIABILITY PROTECTION FOR THE BOARD

- The company can include a provision for board members
- Board members can ask for a personal indemnification contract
- DNO policy in addition to the prior layer

The Formation of a Start-up

Basic Legal Forms

■ Five basic legal forms of organization

- ❑ Sole Proprietorship*
- ❑ General or Limited Partnership*
- ❑ **Limited Liability Company ("LLC")**
- ❑ **Corporation**
 - S Corp
 - C Corp
- ❑ Benefit Corporation*

*See the Appendix for more information

■ Key considerations of selecting legal forms

- ❑ Personal liabilities
- ❑ Tax Implications
- ❑ Operational flexibility and efficiency
- ❑ Attractiveness in fundraising
 - Institutional funding
 - Public market
- ❑ Cost associated with starting and running the business

Benefit corporation: In some states in the US, with more than the objective of shareholder value maximization

The Formation of A Start-up

- General Observations and Conclusions

■ From an entrepreneur's perspective

- ❑ Both an LLC and a Subchapter S corporation can be used when (i) the entity will have very few owners in the first phase; (ii) the company will generate operating losses; and (iii) the owners uniformly want tax benefits associated with the losses.

■ From a VC's perspective

- ❑ VC firms will rarely invest in an LLC.
- ❑ VC firms by definition cannot invest in a Subchapter S corporation.

■ Conversion

- ❑ It's possible to convert an LLC into a Subchapter C corporation in anticipation of a VC financing.
 - If the LLC has a long operating history, many assets and liabilities on the balance sheet, many owners, etc., the conversion mechanics are complex and expensive.

■ VC-backed companies are almost invariably Subchapter C corporations



The Formation of A Start-up

- Subchapter C Corporation



■ Subchapter C Corporation

- ❑ Stockholders have limited liability (i.e., the amount of their investment is all they can lose)
 - Except where:
 - ❑ failure to keep appropriate corporate records
 - ❑ commingling of corporate with non-corporate assets
- ❑ No pass through of tax benefits
 - Subchapter C corporation: gains and losses are taxed at the corporate level, not at the shareholder level (unlike the partnership or LLC)
 - ❑ Salaries paid to employees, shareholder distributions, dividends, are taxed again (i.e., “double taxation”)
 - The corporate tax rate is 21% (federal)

The Formation of A Start-up

- Subchapter S Corporation



■ Subchapter C Corporation

- ❑ Articles (or certificate) of Incorporation
 - Articles define the rights, preferences and privileges of stock (e.g., liquidation preferences, anti-dilution protection, voting protections, board representation rights, etc.).
 - Filing of the articles of incorporation with the Secretary of State (Delaware, etc.) establishes the legal presence of the corporation.
 - An amendment to the articles requires **both board and stockholder approval**; this is a key control issue.
- ❑ Bylaws
 - Bylaws establish the protocols for internal corporate housekeeping (e.g., conduct of board and shareholder meetings, officer responsibilities, etc.).
 - ❑ Bylaws can typically be amended with board approval alone.

Articles are key because they define the different class of stock, its subclasses etc and its rights.

Corporations

- Location



■ Where to Incorporate?

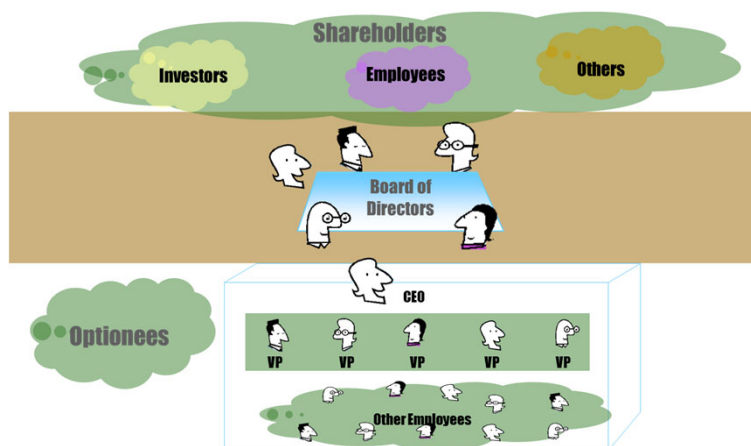
- ❑ Over 50% of all U.S. public companies are Delaware corps (and 63% of Fortune 500 companies are formed in Delaware)
- ❑ A recent sampling of 50 newly public U.S. tech companies—96% (48) were Delaware
- ❑ Operations or assets are not required in Delaware to be a Delaware corp

■ Relevant Considerations:

- ❑ Content and clarity of the corporate law
- ❑ IPOs and related objectives
- ❑ Legal and accounting costs of later reincorporation in a different state
- ❑ You hardly ever see VC-backed startups incorporating anywhere except Delaware; many VCs will require Delaware reincorporation as a financing condition

Corporations

- Typical Corporate Structure



Corporations

- Stock

- Stock represents the equity ownership of the company.
- Stock is an essential element of what fuels the technology—whether from an investor’s or entrepreneur’s perspective.
- Stock—and the philosophies over how it should be used—are what separate technology start-ups from other companies in the general business community.

Usually used to pay employees too



Corporations

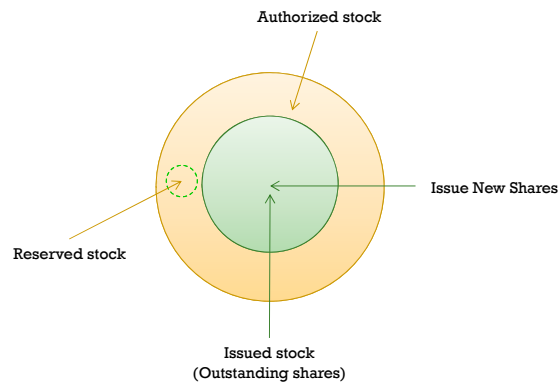
- Stock

- **Authorized Stock**
 - The maximum number of shares that a corporation is legally permitted to issue.
 - Specify in the *Articles of Incorporation* when incorporated.
 - Amendment of *Articles of Incorporation* and shareholder/board approval are needed to authorize additional shares and new series/class of shares.
 - “Authorized” stock is NOT “issued” stock.
- **Issued Stock**
 - The number of authorized shares that is sold to and held by the shareholders of a company.
 - The board has to approve terms and to establish the price for each issuance.
 - New shares issued at the same round of financing constitute a series. All shares within any single series (e.g., Series A Preferred, Series B, etc.) have to have identical rights.
- **Reserved Stock** Not issued but committed as restricted shares or options
 - “Reserved” stock is usually used in the context of the pool of authorized shares that is “set aside” or earmarked by the Board for option grants under the company’s stock option plan.
 - “Reserved” stock is NOT “issued” stock.

Corporations

- Stock

■ A Visual Representation of Authorized Stock, Issued Stock and Reserved Stock



Corporations

- Stock Incentives

■ Well-defined parameters for equity incentive arrangements

- ❑ "Founders stock": stock issued to founders before the company has any assets.
- ❑ *Restricted stock grants*: common stock (not stock purchase rights, like a stock option) that is actually issued, usually with resale/vesting restrictions.
- ❑ *Stock option grants*: stock options, i.e., the right to purchase a fixed number of shares of common stock for a fixed price for a prescribed period of time.

	Founder Stock	Restricted Stock Grants	Stock Option Grants
Basis	Stock Certificate	Stock Certificate	Stock Option Agreement
Class of Stock	Common Stock	Common Stock	Right to Purchase Common Stock
Voting Right	Yes	Yes	No
Right of Residual Claimant	Yes	Yes	No
Stock Ownership	Complete yet may Be subject to Vesting	Resale/Vesting Restrictions	Complete after the exercise price is paid

You want to set the par value at a very low price for new employees to buy them. Even less than a penny.

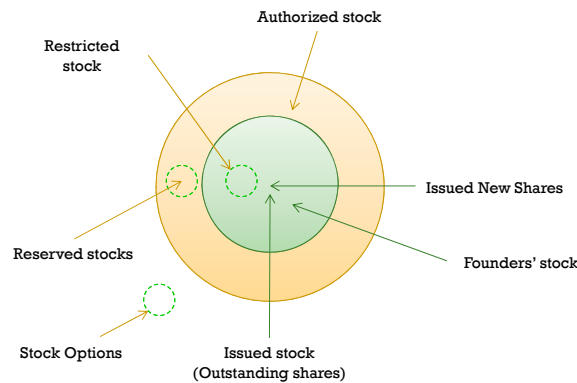
Dead Equity: When someone with shares leaves the company and just owns but does nothing. To avoid it you put a vesting schedule in place

VESTING
Usually on the first year there is a cliff, that if someone leaves, the company repurchases the stock. After that it usually vests linearly quarterly or anything like that.

Corporations

- Stock

- A Visual Representation of Founders Stock, Restricted Stock Grants and Stock Options

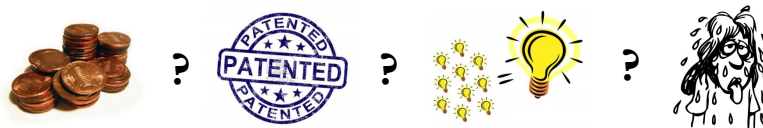


Capital Structure

- Founders' Stock

- Founders' stock: the first step in capitalizing the start-up

- Always common stock.
- Typically issued in exchange for cash (often nominal), hard assets, intellectual property (e.g. patent) and past services.
 - Legal consideration: (i) cash (or cancellation of debt) (ii) property (iii) past services
- However, it is difficult to compare the value of different contributions
 - Especially when you take a dynamic perspective...



Past services not on a startup

Capital Structure

- Forms of Stock

■ Two-Class Stock Structure

- ❑ Common stock is typically used for compensatory purposes (i.e., employees, consultants, board members, etc.).
- ❑ Preferred stock is set aside for investment.
 - ❑ Authorized and issued in "series": one series for each financing, as the price and terms of the preferred stock changes (e.g., Series A, Series B, etc.)



Preferred stocks might have liquidation rights even at 5x rates (If someone tells u that run ajajajajajaa)

3 TIPS

EVERYTHING IS NEGOTIABLE, EVERYTHING

VENTURE CAPITAL GREED IS INFINITE

Underpromiss and overdeliver

Game Rules: Setting Up a Capital Structure

- **Rule #1:** The share price is intended to reflect the company's value. If the company has increased in value, the share price for new shares needs to increase to reflect that.
 - ❑ So, what kind of events increase company value?
- **Rule #2:** Shares of the same class or series issued at the same time for the same purpose must be issued at the same price.
 - ❑ But: it's ok to price Preferred Stock at a higher price than Common Stock (even if issued at the same time), because it's a different class of stock, with superior rights.
- **Rule #3:** Shares always have to be issued for the proper consideration (i.e., you can't give stock away).
 - ❑ The only acceptable consideration for issuing stock is cash (or cancellation of debt), property, or past services.
 - ❑ Stock options are different. The employee is not required to pay any consideration for an option grant (but—the option strike price has to be paid to exercise the option!)
- **Rule #4:** The board of directors must set the price each time stock is issued or options are granted.



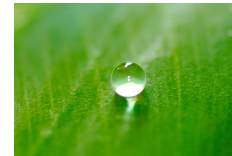
Past services not on a startup

Capital Structure

- Some Tips

■ Keep it simple and conventional

- Thinking “out of the box” can be counter-productive.
(See the Appendix for some deviation from conventional arrangement)
- For investors: simplicity and “plain vanilla” structure are important. Think about:
 - What signaling do you want to convey to prospective investors by having an unconventional structure?
 - How much time do you want to spend explaining your corporate structure (vs. talking about the merits of your business plan)?
- For employees: simplicity helps them better understand their upside and downside in the company.



The Evolving Capital Structure

- Dilution

■ Dilution

- The decreased percent of ownership or value represented by the existing shares due to the issuance of new shares

■ Sources of Dilution

- Issuance of new shares for fundraising
- Employees exercising stock options
- Conversion of convertible note, preferred shares or warrants into stock



■ Types of Dilution

- Transaction-based dilution: dilution resulting ONLY from issuances of new stock
- Price-based dilution: dilution resulting from issuances of new stocks with decreased share value

Early capital injection from founders.
Debt or equity?
If choose debt can be convertible loan or common loan. If a common loan is chosen maturity is key.

If a convertible loan, it is cancelled at the rate that the investor gets for equity,

If it is equity it could be common shares or issue preferred shares from themselves. The latter is a big NO-NO for investors, as founders get too much power.

CAPITALIZATION OF THE COMPANY

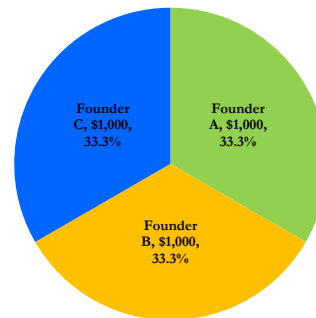
When paying with IP it might not be interesting to value it very low, while if you pay in cash you want a low payments.

The Evolving Capital Structure

- Transaction-based Dilution

I. Formation of a Start-up Company

Person	No. of Shares	% of Shares	Value
Founder A	1,000,000	33.33%	\$1,000
Founder B	1,000,000	33.33%	\$1,000
Founder C	1,000,000	33.33%	\$1,000
Total Post-Financing Valuation	3,000,000	100.0%	\$3,000



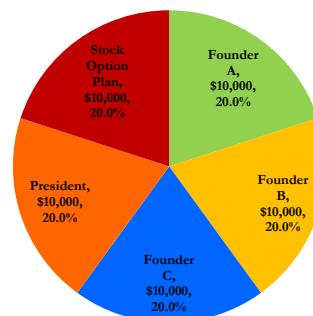
The Evolving Capital Structure

- Transaction-based Dilution

II. Hiring of Chief Executive Officer & Establishment of Option Plan

- Reason for Dilution: Stock incentive provision
- Price: \$0.01/share

Person	No. of Shares	% of Shares	Value
Founder A	1,000,000	20.0%	\$10,000
Founder B	1,000,000	20.0%	\$10,000
Founder C	1,000,000	20.0%	\$10,000
President	1,000,000	20.0%	\$10,000
Stock Opt. Plan	1,000,000	20.0%	\$10,000
Total Post-Financing Valuation	5,000,000	100.0%	\$50,000

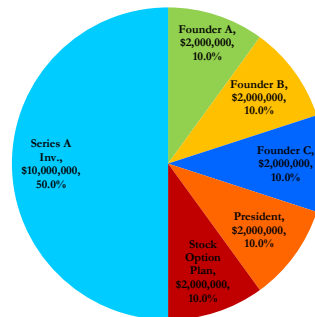


The Evolving Capital Structure - Transaction-based Dilution

■ III. Initial Venture Financing Round

- Reason for Dilution: First round fundraising for product development
- Price (Pre-money Valuation): \$2.00/share (\$10,000,000)

Person	No. of Shares	% of Shares	Value
Founder A	1,000,000	10.0%	\$2,000,000
Founder B	1,000,000	10.0%	\$2,000,000
Founder C	1,000,000	10.0%	\$2,000,000
President	1,000,000	10.0%	\$2,000,000
Stock Opt. Plan	1,000,000	10.0%	\$2,000,000
Series A Investor	5,000,000	50.0%	\$10,000,000
Total Post-Financing Valuation	10,000,000	100.0%	\$20,000,000

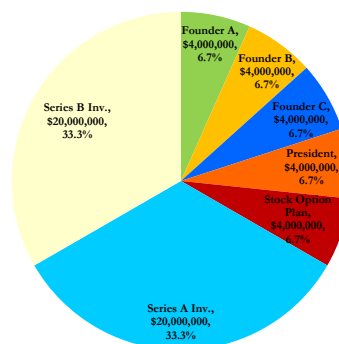


The Evolving Capital Structure - Transaction-based Dilution

■ IV. Series B Preferred Stock Financing

- Reason for Dilution: Second round fundraising for product development
- Price (Pre-money Valuation): \$4.00/share (\$20,000,000)

Person	No. of Shares	% of Shares	Value
Founder A	1,000,000	6.66%	\$4,000,000
Founder B	1,000,000	6.66%	\$4,000,000
Founder C	1,000,000	6.66%	\$4,000,000
President	1,000,000	6.66%	\$4,000,000
Stock Opt. Plan	1,000,000	6.66%	\$4,000,000
Series A Investor	5,000,000	33.33%	\$20,000,000
Series B Investor	5,000,000	33.33%	\$20,000,000
Total Post-Financing Valuation	15,000,000	100.0%	\$60,000,000



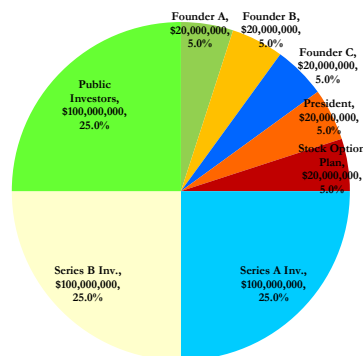
The Evolving Capital Structure

- Transaction-based Dilution

■ V. Initial Public Offering

- Reason for Dilution: IPO for expansion of manufacturing and marketing
- Price: \$20.00/share

Person	No. of Shares	% of Shares	Value
Founder A	1,000,000	5%	\$20,000,000
Founder B	1,000,000	5%	\$20,000,000
Founder C	1,000,000	5%	\$20,000,000
President	1,000,000	5%	\$20,000,000
Stock Opt. Plan	1,000,000	5%	\$20,000,000
Series A Investor	5,000,000	25%	\$100,000,000
Series B Investor	5,000,000	25%	\$100,000,000
Public Investors	5,000,000	25%	\$100,000,000
Total Post-Financing Valuation	20,000,000	100.0%	\$400,000,000



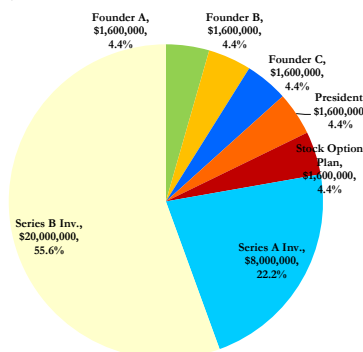
The Evolving Capital Structure

- Price-based Dilution

■ Series B Preferred Stock Financing – A Down Round

- Reason for Dilution: Second round fundraising for product development and a price drop
- Price (Pre-money Valuation): \$1.60/share (\$20,000,000)

Person	No. of Shares	% of Shares	Value
Founder A	1,000,000	4.44%	\$1,600,000
Founder B	1,000,000	4.44%	\$1,600,000
Founder C	1,000,000	4.44%	\$1,600,000
President	1,000,000	4.44%	\$1,600,000
Stock Opt. Plan	1,000,000	4.44%	\$1,600,000
Series A Investor	5,000,000	22.22%	\$8,000,000
Series B Investor	12,500,000	55.56%	\$20,000,000
Total Post-Financing Valuation	22,500,000	100.0%	\$36,000,000



The Evolving Capital Structure

- Transaction-based and Price-based Dilution

- The Comparison between the up round and the down round Series B financing
 - If Series B preferred stock is valued at \$4/share, the ownership of Series A investors will drop from **50%** to **33.3%**, but the value of their shareholding will increase from **\$10 million** to **\$20 million**.
 - If Series B preferred stock is valued at \$1.6/share, the ownership of Series A investors will drop from **50%** to **22.2%** and the value of their shareholding will decrease from **\$10 million** to **\$8 million**.
 - Price-based dilution is much more dilutive for VC investors and thus they often negotiate for different terms which shift the risk and cost of price-based dilution to founders.

Corporations

- Intellectual Property



- What is it?
 - IP covers a range of assets: logos, company names, product literature, customer lists
 - Also covers trade secrets, know-how, patents, inventions, processes—the more traditional elements of IP
 - If IP is unique to a business, it offers a competitive advantage
 - Patents, trademarks and copyrights are a specialized subset of intellectual property law
 - A comprehensive IP strategy is key to protecting your assets and optimizing your competitive advantage
 - Consult a specialist

Corporations

- Intellectual Property

- **Intellectual property, and how it is protected, is fundamental.**
 - Especially when it is central to the company's business. Not just limited to patents!
- **Unfettered ownership rights in the IP is the key diligence issue from a VC's perspective.**
- **What is proper way to transfer the IP into the corporation?**
 - Specific identification of the IP to be transferred
 - Assignments by all inventors/founders/consultants
 - "Assignment of inventions and confidentiality agreements" by all employees (and equivalent provisions for consultants)
 - Assignment of registered IP



Takeaways

- The implications of different legal forms of organizations for entrepreneurs and startups
- The conventional corporate and capital structure of a corporation
- The types and role of stock in a corporation
- Issues on intellectual property in the formation of a start-up company
- Transaction dilution and price dilution

Next Class:

Caselette #2

Appendix: The Legal Forms of Organization

- The Sole Proprietorship

■ The Sole Proprietorship

- ❑ Owned by a single entrepreneur
- ❑ The business and the person are considered essentially the same, so legal claimants can pursue the personal property of the proprietor
- ❑ Tax implication: personal income tax
- ❑ Easy to form: usually requires no filing of formation documents. Only need to report the individual's and venture's name and address



Appendix: The Legal Forms of Organization

- General/Limited Partnership

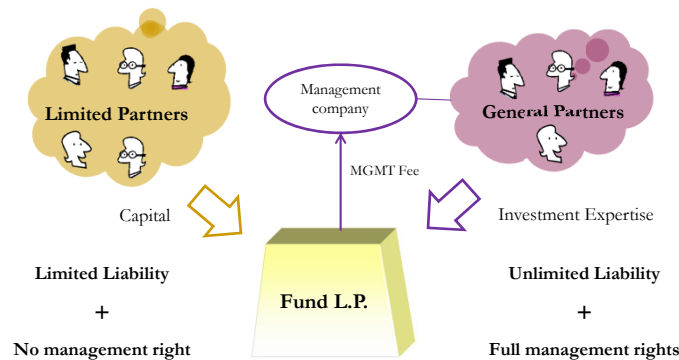
■ General partnership

- ❑ A voluntary association of two or more persons to carry on as co-owners of a business for profit
- ❑ Partnership agreement
 - Capital contribution
 - Allocation of profit and losses
 - Management responsibility
 - Means of dissolution and liquidation
- ❑ Liability and Tax Implications: similar to the sole proprietorship
 - Each partner is jointly and severally liable



Appendix: The Legal Forms of Organization - General/Limited Partnership

■ Limited Partnership Revisited



Appendix: The Legal Forms of Organizations - Limited Liability Company



■ Limited Liability Company (LLC)

- Combines features of both corporations and limited partnerships
 - Corporate features:
 - LLC members can operate as managers (unlike a limited partnership, where only the general partners can have management authority)
 - All owners have limited liability (i.e., liability only for the amount of their investment)
 - Limited partnership tax features: there is no entity-level tax—taxable gains/losses at the state and federal level pass through to LLC members. Each member is required to file all applicable tax returns.
- Ownership interests of all “members” are defined and established in the LLC operating agreement
 - Operating agreements are usually complicated, and are not “off the shelf” form documents

Appendix: The Legal Forms of Organizations

- Subchapter S Corporation



■ Subchapter S corporation

- A Sub S corporation has board members/shareholders, etc.
 - Corporate gains and losses are passed through to shareholders (i.e., a single level of taxation)
 - Early stage start-ups will sometimes take advantage of “S Corporation” status: losses get passed through to the owners
- Requirements for S Corporation status:
 - no more than 100 shareholders
 - all individuals (family trusts are OK in general)
 - only one class of stock (i.e., no preferred stock)

The Formation of A Start-up

- Comparison among Legal Forms

■ From the Perspective of a Founder

	C Corp	S Corp	Limited Partnership	LLC
Liability	Limited	Limited	GP: Unlimited LP: Limited	Limited
Tax	Double Tax (at both entity and owner level)	Single Tax (at owner level in most states)	Single Tax (at owner level in most states)	Single Tax (at owner level in most states)
Implications	NOL used against future earning (at entity level)	Loss passing through entity (at individual level)	Loss passing through entity (at individual level)	Loss passing through entity (at individual level)
Fundraising	No limitation	Less than 100 shareholder; No foreign and institutional investors	Limited to domestic and non-tax-exempt investors	Limited to domestic and non-tax-exempt investors
Operation	Clear	Less Flexible	Complex	Complex

The Formation of A Start-up - Comparison among Legal Forms

■ From the Perspective of a VC Investor

	C Corp	S Corp	Limited Partnership	LLC
Liability	Limited	Limited	GP: Unlimited LP: Limited	Limited
Tax	Double Tax (at both entity and owner level)	Single Tax (at owner level in most states)	Single Tax (at owner level in most states)	Single Tax (at owner level in most states)
Implications	NOL used against future earning (at entity level)	Loss passing through entity (at owner level)	Loss passing through entity (at owner level)	Loss passing through entity (at owner level)
Fundraising	No limitation	Less than 100 shareholder; No foreign and institutional investors	Limited to domestic and non-tax-exempt investors	Limited to domestic and non-tax-exempt investors
Governance	Common and preferred stocks	Single class of stock	Flexible but complex	Flexible but complex
Exit	Favor stock sales	Favor asset sales	Favor asset sales	Favor asset sales

Appendix: Capital Structure - Deviation from the Conventional Arrangement

- **Series FF stock** — a variation on founders stock advocated by the Founders Fund and various law firms
 - Enables founders to monetize a form of founders stock before a liquidity event without compromising the common stock pricing to other employees
- **Class F stock** — another variation on founders stock, also advocated by the Founders Fund and various law firms
 - Enables founders to maintain an element of corporate control beyond the one share/one vote norm of ordinary stock structures
- **Dual Class Common Stock** — a “super-class” of common stock with overriding voting rights
 - Usually implemented prior to an IPO, to ensure that the founders retain voting control following conversion of preferred stock to common (e.g., Dolby, Google, Zynga, Facebook, LinkedIn, Jive, etc.)
- **Convertible equity** (in contrast with convertible notes)
 - All the features of a convertible note, except that it is not debt, no maturity date

Your Questions?

